

Customs Tariff Act, 2024

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Customs Act, 2082."

(2) This Act shall come into force on the ninety-first day from the date of its certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Investigation Officer" means the investigation officer designated pursuant to Section 77.

(b) "Computer System" means the automated computer system used by the Department to perform customs clearance and other customs-related functions through electronic means.

(c) "Office" means a Customs Office pursuant to Section 5, and said term also denotes the premises of such Customs Office.

(d) "Declaration" means the act of filling out a declaration form with details of goods to be exported or imported and transmitting or submitting it to a Customs Officer through electronic means or means prescribed by the Department, and said term also denotes the details entered into the computer system and the documents attached by the declarant before the clearance of goods for export or import.

(e) "Declarant" means the owner of the goods to be exported or imported as mentioned in the declaration form, and said term also denotes the Customs Clearance Agent appointed by such owner.

(f) "Illicit Export" means the act of exporting dutiable goods without paying duty, by concealing, or through a route other than the one designated pursuant to Section 6, or exporting non-dutiable goods without declaring them.

(g) "Illicit Import" means the act of importing dutiable goods without paying duty, by concealing, or through a route other than the one designated pursuant to Section 6, or importing non-dutiable goods without declaring them.

(h) "Examination" means the act of a Customs Officer inspecting goods or documents related to such goods, or both, to verify whether the goods for export or import are as declared, and said term also denotes the act of inspecting or searching vehicles entering Nepal from foreign countries or departing from Nepal to foreign countries, persons associated with such vehicles, and passengers.

(i) "Clearance" means permission granted by a Customs Officer, in accordance with this Act and the prevailing law on customs duty, for the export or import of any goods from an Office or Customs Warehouse, or for taking them outside the customs area.

(j) "Post-Clearance Audit" means the examination of goods conducted pursuant to Section 102.

(k) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules made under this Act.

(l) "Export" means the act of sending goods from Nepal to a foreign country.

(m) "Exporter" means a person exporting goods, and said term also denotes the owner of goods at the time of making a declaration for export or after making a declaration for export but before export, a person acquiring ownership, an authorized person taking custody of goods, or a person having an interest in the goods.

(n) "Petroleum Products" means High Speed Diesel, Motor Spirit (Petrol), Aviation Fuel (Aviation Turbine Fuel), Superior Kerosene Oil, and Liquefied Petroleum Gas (LPG), and said term also denotes other petroleum products designated by the Government of Nepal by publishing a notice in the Nepal Gazette.

(o) "Import" means the act of bringing goods into Nepal from a foreign country.

(p) "Declaration Form" means the form on which an exporter or importer declares the details of goods to be exported or imported.

(q) "Bonded Warehouse" means a warehouse and its premises licensed by the Department for importing and storing, under bank guarantee facility, raw materials or auxiliary raw materials required to produce goods for export abroad or for sale within the country against convertible foreign currency, or goods to be sold in duty-free shops.

(r) "Bank" means a commercial bank or financial institution licensed to conduct banking business under the prevailing law.

(s) "Bank Guarantee" means a guarantee provided by a Bank to the Office that if the declarant fails to pay the duty payable upon export or import of goods, the Bank shall pay the same.

(t) "Customs Officer" means the Chief Customs Administrator, Chief Customs Officer, or Customs Officer as per Section 7, and said term also denotes the head of an office where the office head is a non-gazetted employee or the head of a Small Customs Office, a Deputy Director General, Director, Customs Inspector, Section Officer of the Department designated by the Director General, or an authorized officer pursuant to Section 120.

(u) "Customs Clearing Agent (Agent)" means a person licensed pursuant to Section 97.

(v) "Customs Clearance Audit Office" means the office pursuant to Section 13.

(w) "Customs Inspector" means the Chief Customs Audit Administrator, Chief Customs Inspector, or Customs Inspector pursuant to subsection (2) of Section 13, and said term also denotes the Director General or the Customs Officer designated by him/her pursuant to Section 102.

(x) "Customs Duty" means the customs duty leviable on goods for export or import according to the prevailing law on customs duty.

(y) "Customs Value" means the value determined under Chapter-4 for the purpose of determining the customs duty on goods to be exported or imported.

(z) "Customs Warehouse" means a Customs Warehouse pursuant to Section 57.

(aa) "Customs Area" means a customs area pursuant to Section 6.

(ab) "Ministry" means the Ministry of Finance, Government of Nepal.

(ac) "Duty" means all taxes, fees, and charges leviable on goods for export or import under the prevailing law, and said term also denotes customs duty leviable according to the prevailing law on customs duty.

(ad) "Director General" means the Director General of the Department.

(ae) "Relief Materials" means goods of the type determined by the Government of Nepal imported as humanitarian assistance for search, rescue, and relief of victims during a disaster situation.

(af) "Goods" means movable goods or property of any kind, including currency.

(ag) "Classification of Goods" means the classification of goods conducted according to the prevailing law on customs duty.

(ah) "Person" means a natural person or a legal entity.

(ai) "Vehicle" means any means used for transporting people and goods via air, water, or land routes, including aircraft, vessels, trains, motor vehicles.

(aj) "Disaster" means a natural or non-natural disaster that creates an emergency situation in any place, causing loss of life or property, and adversely affecting livelihood and the environment.

(ak) "Department" means the Customs Department.

(al) "Motor Vehicle" means any means used for travel or transportation of goods, including motor cars, carts, horse-drawn carriages, handcarts, rickshaws, bicycles.

Chapter-2

Customs Administration and Customs Area

3. Establishment of Department: (1) There shall be a Customs Department for performing customs-related functions under this Act.

(2) The Director General shall be the head of the Department. The Department shall have the Director General and necessary number of employees as per the posts approved by the Government of Nepal. 4. Functions, Duties, and Powers of the Director General: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Director General shall be as follows:-

(a) If any person takes possession of goods or arrests a person (including the person) for exporting or importing goods in contravention of this Act or the prevailing law on customs duty elsewhere than the customs area and presents them before the Department, to conduct or cause to conduct investigation and action under this Act on the goods or person so presented, either by him/herself or by designating any officer of the Department,

(b) If any information is received or suspicion arises regarding valuation, classification, duty determination, etc., of any goods that have already been cleared from an Office, before such goods are taken out of the customs area or after they have been taken out, to inform the declarant about the matter and direct any officer of the Department to take control of such goods, re-examine them, or conduct necessary investigation and submit a report,

(c) Based on the report under clause (b), to exercise the powers of a Customs Officer under this Act and take or cause to take necessary action,

(d) To add necessary digits to the sub-headings of goods classification for the purpose of duty, valuation, statistics, or similar other purposes and implement them,

(e) If any obstruction occurs in performing customs valuation or goods clearance or any other function related to customs administration, to issue appropriate orders not inconsistent with this Act or the prevailing law on customs duty,

(f) To monitor, control, and supervise customs administration,

(g) To perform or cause to perform other functions required to be performed by the Department under this Act. 5. Establishment of Office: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, establish a Customs Office or a Small Customs Office as required in any customs area.

(2) Notwithstanding anything contained in subsection (1), if functions cannot be performed from any Office due to a disaster, the Director General may establish an Office in any customs area. After the purpose of such an office is fulfilled, the Director General shall dissolve such an office. 6.

Power to Designate Customs Area and Route: (1) For the purpose of implementing customs laws and collecting duties under this Act and other prevailing laws, the Ministry may, by publishing a notice in the Nepal Gazette, designate a customs area, route, or place as follows:- (a) Designate any airport, seaport, integrated check post, inland clearance depot, railway station, or any other area in Nepal as a customs area, (b) Designate a place within the area under clause (a) for keeping imported or exported goods and designate a route through which such goods must be exported or imported, (c) Designate a place within the area under clause (a) from where passengers depart abroad and arrive from abroad, (d) Designate a place where Customs Warehouses may be located for storing goods for export or import, or where licenses may be issued for operating private warehouses, (e) Designate a route for importing petroleum products through pipelines. (2) The Ministry shall consult with the concerned airport operator when designating a route or place under clauses (b) and (c) of subsection (1) at an airport located within a customs area. (3) Notwithstanding anything contained in subsection (1), the Director General may, for the purpose of clearing relief materials during a disaster situation, designate any area in Nepal as a customs area and designate a route so that goods are exported or imported only through such customs area. After the purpose of such customs area or route is fulfilled, the Director General shall abolish such customs area or route. (4) The Director General may designate that goods of a specific nature may be exported or imported only through a specific Office. (5) Goods for export or import must be exported or imported only through the route or Office designated under subsection (1) or (4). (6) Notwithstanding anything contained elsewhere in this Act, the Director General may designate that only specific goods or goods up to a specific value may be exported or imported from a Small Customs Office. 7. Employees in the Office: An Office shall have a Chief Customs Administrator, Chief Customs Officer, Customs Officer, and other employees in necessary numbers as per the posts approved by the Government of Nepal. 8. Office Hours: (1) The head of an Office may, with the approval of the Director General, determine the opening and closing times of the Office.

A notice regarding the office hours so determined shall be made public. (2) The head of an Office may, based on the convenience of service recipients or the workload of the Office, make necessary arrangements for work before or after regular office hours, on public holidays, or during times when the Office is closed. (3) If the head of an Office deems it necessary to provide convenience to service recipients or to facilitate export or import related work, he/she may, with prior approval of the Director General, make necessary arrangements to close the Office on a day that is not a public holiday at the local level, or to open the Office on a public holiday. 9. Functions, Duties, and Powers of the Chief Customs Administrator: The functions, duties, and

powers of the Chief Customs Administrator shall be as follows:- (a) To classify, value, determine, and collect duties on goods in accordance with this Act or the prevailing law on customs duty, (b) If any person takes possession of goods or arrests a person (including the person) for exporting or importing goods in contravention of this Act or the prevailing law on customs duty elsewhere than the customs area and presents them before the Office, to take action under this Act, (c) To confiscate goods and auction or destroy confiscated goods in accordance with this Act or the prevailing law on customs duty, (d) To perform other functions mentioned as functions of a Customs Officer under this Act. 10. Powers and Responsibilities of the Chief Customs Officer: (1) Where the Chief Customs Officer is the head of an Office, he/she shall have the power to operate customs administration under this Act by exercising the powers vested in the Chief Customs Administrator under Section 9. (2) Where the Chief Customs Officer is not the head of an Office, he/she shall, subject to the powers delegated by and instructions received from the Chief Customs Administrator, perform the tasks required to be performed by a Customs Officer under this Act and fulfill the responsibilities according to the powers vested in him/her. 11.

Powers and Responsibilities of the Customs Officer: (1) Where the Customs Officer is the head of an Office, he/she shall have the power to operate customs administration under this Act by exercising the powers vested in the Chief Customs Administrator under Section 9 or the Chief Customs Officer under Section 10. (2) Where the Customs Officer is not the head of an Office, he/she shall, subject to the powers delegated by and instructions received from the Chief Customs Administrator or Chief Customs Officer, perform the tasks required to be performed by a Customs Officer under this Act and fulfill the responsibilities according to the powers vested in him/her. 12. Powers of the Head of Small Customs Office: The head of a Small Customs Office shall have the power to clear goods, subject to the directions and control of the concerned Office head. 13. Establishment of Customs Clearance Audit Office: (1) To ascertain whether any goods cleared from an Office are as declared by the declarant, or whether such goods have not been used in accordance with the duty concession provided under this Act or the prevailing law on customs duty, the Government of Nepal may, by publishing a notice in the Nepal Gazette, establish a Customs Clearance Audit Office as required for conducting post-clearance audits. (2) The Office established under subsection (1) shall have a Chief Customs Audit Administrator, Chief Customs Inspector, Customs Inspector, and other employees in necessary numbers. 14. Functions, Duties, and Powers of the Chief Customs Audit Administrator: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Chief Customs Audit Administrator shall be as follows:- (a) To prepare and implement an annual work plan related to post-clearance audit, (b) To analyze available data on goods cleared from customs and select goods or persons showing risk for post-clearance audit, (c) To prepare and implement or cause to implement an audit plan for goods or persons selected for post-clearance audit, (d) To prepare or approve and implement or cause to implement audit reports, (e) While conducting post-clearance audits, to prepare reports on compliance with the law and regularly provide them to the Department, (f) To perform functions mentioned as functions of a Customs Inspector under this Act. 15. Powers of Chief Customs Inspector and Customs Inspector: The Chief Customs Inspector and Customs Inspector shall have the power to perform functions according to the powers delegated by the Chief Customs Audit Administrator, subject to the directions given by him/her. 16.

Power to Designate Uniform and Badge: (1) The Government of Nepal may designate the uniform, identity card, and, if necessary, rank insignia to be worn by employees of the Department and Offices during office hours. (2) Where uniform, identity card, and rank insignia are designated under subsection (1), employees deployed in the Department and Offices shall mandatorily wear such uniform, identity card, and rank insignia during office hours. Provided that it shall not be mandatory for an employee deployed for investigating any

goods or person to wear such uniform or rank insignia. (3) When any employee investigates or takes action against any person on matters related to customs administration under this Act, if such person wishes to see the identity card of the employee, it shall be the duty of the concerned employee to show his/her identity card.

Chapter-3 Arrival, Departure, Declaration, Examination, and Clearance of Vehicles

17. Details of Goods to be Submitted: (1) The operator of a vehicle entering a customs area shall, before the vehicle carrying goods enters the customs area, or within twelve hours of its entry into the customs area, submit a brief description of such vehicle and the manifest of goods therein to the Office or enter it into the computer system. (2) Notwithstanding anything contained in subsection (1), arrangements may be made so that a vehicle is allowed entry into the customs area only after a brief description as prescribed by the Department is entered into the computer system of the Office.

18. Vehicle to be Examined: The driver of a passenger, cargo, or empty vehicle (except aircraft) entering Nepal from abroad or departing from Nepal shall have such vehicle examined before its entry into Nepal or departure from Nepal.

19. Goods Not Cleared Not to be Transported: A person transporting imported goods shall not transport goods for which duty has not been paid or which have not been cleared, with the intention of taking them outside the customs area or to a foreign country.

20. Goods to be Declared: (1) A declarant shall file a declaration form for the goods he/she intends to export or import.

Provided that, regarding goods for personal use that a passenger may bring or take without declaration, it shall be as determined by the Ministry by publishing a notice in the Nepal Gazette.

(2) Any person who is able to submit necessary documents proving ownership of the goods may make a declaration of goods for the purpose of clearance.

(3) A declarant may make a declaration by entering the details of the goods in the format of the declaration form into the computer system. While making such a declaration, the documents required to be submitted shall be attached in electronic form. Provided that if a Customs Officer so requests, the declarant shall submit the documents as requested.

(4) While declaring goods under this section, the nature of the goods, physical characteristics, qualities, measurements, size, weight, quality, and depending on the nature of the goods, brand, model, unit, manufacturer, and other similar details that clearly identify the goods must also be mentioned.

(5) The concerned declarant shall be responsible for the truthfulness and completeness of the details declared under subsection (1), (3), or (4) and the authenticity of the documents submitted.

(6) If a declarant is unable to submit any document with the declaration due to force majeure or any other reasonable cause, he/she may apply to the Customs Officer for permission to submit such document later.

(7) If, upon examining the application received under subsection (6), the documents submitted and the contents of the application appear reasonable, the Customs Officer may grant permission for a temporary or incomplete declaration for the time being, specifying the period for which the full declaration of such goods must be made.

(8) If, upon examining the declaration made under subsection (7), it appears that the duty will differ when a permanent or full declaration is made later for the said goods, the Customs Officer may clear the goods by taking a cash deposit equal to such duty as security.

(9) The cash deposit taken under subsection (8) shall be released after the full declaration process for such goods is completed.

(10) If a declarant makes a written request to the Customs Officer to amend the details of the goods declared by him/her, in a manner not inconsistent with the documents submitted with the declaration, before the goods are examined, the Customs Officer may grant permission to amend such details.

Provided that permission to amend details shall not be granted if the request for amendment appears to be fraudulent or made in bad faith.

(11) If, after the examination of goods has commenced but before clearance, the declarant submits an application to the Customs Officer stating reasons for amending the declaration, and if the reasons appear

reasonable, the Customs Officer may grant permission to amend such declaration. Provided that permission to amend the declaration shall not be granted if any of the following situations arise:-

- (a) If it would affect the duty payable or the regulation to be performed by customs,
- (b) If it appears to grant immunity from a penalty that may be imposed under this Act,
- (c) If it would cause unnecessary delay in the clearance process.

(12) If a declarant has declared goods under one customs procedure for import, but before clearance, submits an application to import the same goods under another customs procedure, and if the Customs Officer is satisfied that such goods will be re-declared accordingly, he/she may cancel the earlier declaration and grant permission to file another declaration. If such permission is granted, no duty shall be leviable on the goods first declared.

(13) If any person wishes to make an advance declaration initiating the clearance procedure before the goods to be imported arrive at the Office, he/she may make a declaration under subsection (1) or (7) within the following time periods:-

- (a) In the case of goods imported by air, at any time after the airway bill for such goods is issued but before they arrive at the Office,
- (b) In the case of goods imported by land route, at any time after the bill of lading for such goods is issued but before they arrive at the Office.

(14) A declarant must make a declaration for the clearance of goods or for placing them in a Customs Warehouse within seven days from the date the goods enter the customs area.

(15) If a written request is made for extension of time stating inability to make a declaration within the period under subsection (14), and if such request appears reasonable, the Customs Officer may grant an extension of up to seven days. 21. Verification of Declaration: (1) Subject to Section 23, the Customs Officer shall promptly verify whether the declared goods are importable under the prevailing law.

While undertaking such verification, the Customs Officer may, as necessary, physically examine or cause to examine the concerned goods. (2) If upon verification under subsection (1), such goods are found not to be importable, the Customs Officer shall, regarding the following goods, do as follows:- (a) If the goods are prohibited for import, such as arms, ammunition, bullets, gunpowder and materials used to produce such goods, fuses, wires and explosive substances, cannabis, hashish, opium and similar narcotic drugs, restricted drugs used as narcotics, etc., hand them over to the nearest Nepal Police for necessary action, (b) If a license or permit has been issued to a certain person or entity specifying the quantity or time for import, and the import is made by another person or entity, confiscate such goods and punish according to the prevailing law, (c) If the goods are not prohibited for import by the prevailing law but cannot be imported according to a bilateral agreement with any country, confiscate them, (d) If any standard, quality, or condition is specified regarding the goods to be imported, and the import is made in violation of such standard, quality, or condition, confiscate such goods, (e) Regarding goods prohibited for import under the prevailing law other than those mentioned in clause (a), if a separate authority is designated for hearing the case, hand them over to such authority, (f) If the goods are prohibited for import by the prevailing law and are of a nature that cannot be used in Nepal, auctioned, rotted, or destroyed from the perspective of the environment and public health, notwithstanding anything contained in other prevailing laws, order the importer to return them to the exporter with the approval of the Director General, on the condition that the foreign currency paid for such

goods is brought back. (3) If, due to any act of the importer contrary to this Act or the prevailing law on customs duty, it does not appear necessary to seize or confiscate any goods that are subject to legal or administrative proceedings, the Customs Officer shall clear such goods by taking a cash deposit of the amount equivalent to the duty, additional duty, or penalty that may be leviable when a decision is made later on such goods. 22.

Prompt Clearance to be Made: (1) Live animals, fresh fruits and vegetables, seafood, meat and meat products, food items requiring special storage, biotech products, endocrine glands, blood and blood plasma, medicines, perishable research materials, vaccines, or similar perishable goods designated by the Department from time to time shall be cleared promptly. (2) If it is not possible to clear goods promptly under subsection (1), written information stating the reason therefor shall be provided to the declarant. 23. Goods to be Cleared on Basis of Risk Analysis: (1) While examining goods, the Department may analyze potential risks based on revenue security, social security, public health, environmental safety, the nature of the goods, the country of origin, the country of consignment, the reliability of the exporter, importer, or declarant, and based on the level of such risk, make arrangements in the computer system for clearance as follows:- (a) Clear goods based solely on the declaration, without examining the goods or related documents, (b) Clear goods after examining only the related documents, without examining the goods, (c) Clear goods based solely on the declaration, with a plan to conduct a post-clearance audit without examining the goods or related documents, (d) Clear goods only after examining all goods and related documents. (2) The Department may provide for a Green Channel, Yellow Channel, Blue Channel, and Red Channel in the computer system for goods to be cleared under clauses (a), (b), (c), and (d) of subsection (1), respectively. (3) While clearing goods under this section, the Customs Officer shall act according to the channel specified by the computer system. (4) Notwithstanding anything contained in subsection (3), if the computer system is down for any reason, or if the computer system has not been installed in any Office, or during a disaster situation, the procedure for clearing goods shall be as prescribed by the Director General. (5) If any goods sent to a laboratory for testing are not found to be prohibited or restricted under the prevailing law, the Customs Officer may clear such goods by taking a deposit of the amount equivalent to the duty leviable on such goods, even before receiving the laboratory test report or the opinion of the concerned expert. 24.

If such information is given, but the declarant is not present at the time specified by the Customs Officer, the examination of such goods may still be conducted. 25. Power to Test Samples of Goods: (1) If deemed necessary to test samples of imported food or beverage items or other similar goods for quality testing, customs valuation, classification of goods, or from the perspective of possible adverse effects on public health or the environment, the Customs Officer may take a sample of such goods and test it him/herself, have it tested by a concerned expert, or have it tested by a laboratory of the Office, the Department, or other accredited laboratories.

(2) If a sample received for testing from the laboratory of the Department under subsection (1) cannot be tested by the Department, the Department may send such sample to another government laboratory for testing.

(3) The concerned laboratory shall, upon receiving a sample of goods for testing from the Department under subsection (2), test it as soon as possible and send its report to the concerned Office.

(4) While taking a sample of goods for testing under subsection (1) the Customs Officer may, if deemed necessary, have the declarant present and take assistance in the process of taking samples or testing.

(5) If the declarant wishes to take a sample or physically inspect goods before making a declaration, he/she

may do so.

(6) If, upon testing the sample under subsection (1) or (2), such goods appear to harm or adversely affect health or the environment, the Customs Officer shall issue a written order to act or cause to act in accordance with clause (c) of subsection (2) of Section 21 regarding such goods.

(7) If the concerned importer fails to return such goods as per the order issued under subsection (6), the Customs Officer may confiscate such goods and rot or destroy them, and the cost incurred or to be incurred for rotting or destroying shall be recovered from the concerned importer. 26.

Goods May be Examined by Going to Relevant Location: (1) If the declarant wishes to have the goods he/she has imported or intends to export examined by going to a location outside the customs area or to the place of production or warehouse of such goods, he/she shall submit an application to the Customs Officer. (2) If the contents of the application received under subsection (1) appear reasonable, the Customs Officer may go to such location him/herself or send a subordinate employee to examine or cause to examine such goods. (3) Before examining goods under subsection (2), in the case of imported goods, the Customs Officer may take a deposit of the amount resulting from adding fifty percent duty to the duty leviable on such goods according to the declared customs value. (4) If the deposit amount taken under subsection (3) exceeds the duty leviable on such goods, the Office shall refund the excess amount to the importer, and if it is less, the deficit amount shall be recovered from the importer. 27. Registration of Authorized Business Person: (1) The Ministry may register any person as an Authorized Business Person based on the following grounds:- (a) Full compliance with customs laws during the preceding three years, (b) Satisfactory internal control system of the business, (c) Maintenance of reliable and satisfactory business records, (d) Ability to furnish proof of financial solvency to provide security or guarantee as required. (2) Notwithstanding anything contained elsewhere in this Act, a person registered under subsection (1) may, upon export or import, be provided by the Department with any of the following facilities:- (a) Clear goods based on minimal documents required for goods identification and allow full declaration with complete details to be made later, (b) Clear goods by going to the declarant's premises or other location designated by the Department, (c) Minimize the physical inspection or examination process of goods as much as possible. (3) The Ministry may, at any time, remove a person registered under subsection (1) from such register on any of the following grounds:- (a) If found to have failed to fulfill the conditions under subsection (1), (b) If proven to have committed an offense related to revenue leakage, (c) If proven to have illicitly exported or imported goods. 28.

Power to Seal Means of Transport: (1) The Department may make necessary arrangements so that cleared goods must be transported only by specified means of transport or sealed closed containers. (2) The Office shall affix seals on the means of transport under subsection (1) as prescribed by the Department. (3) The Department may make necessary arrangements so that the means of transport for goods cleared from an Office must be registered in advance at the Office. 29. Goods Not to be Opened, Viewed, or Examined without Approval: (1) Goods that have been cleared and sealed, and the means of transport carrying such goods, shall not be opened, viewed, or examined without the approval of the Director General until they reach the designated destination. Provided that such approval shall not be required for an officer authorized to investigate under the prevailing law on revenue leakage and for a Customs Officer under Section 24 for examining any goods. (2) If an officer authorized to investigate under the prevailing law on revenue leakage takes possession of cleared and sealed goods and the means of transport carrying such goods for investigation, information thereof shall be provided within twenty-four hours to the Department and the concerned Office, and information of the action taken regarding such goods or the means of transport carrying them shall be provided within seven days of the conclusion of such action by that body. (3) The

goods taken possession of under subsection (2) and the means of transport carrying them shall be opened, viewed, and examined only after they have been safely taken to the officer's own office or the nearest customs office. 30.

Power to Re-export Imported Goods: (1) If imported goods require re-export under the following circumstances, the Customs Officer may order their return:- (a) If a defect is found in the goods, or if they are not as per the specifications mentioned in the agreement between the importer and the supplier at the time of import, (b) If the purpose for which they were imported cannot be fulfilled, or (c) If they are found to be substandard upon laboratory testing. (2) Notwithstanding anything contained in subsection (1), an order for re-export of any goods with a refund of duty shall not be issued unless the following conditions exist:- (a) Such goods have been returned to the concerned supplier or a person designated by him/her, (b) Apart from acts necessary to detect the defect or conformity with contractual specifications, no repair, use, or other work has been done on such goods, (c) The Customs Officer has ascertained that the goods being exported are the same as imported, (d) An application has been made for return within ninety days from the date of import or arrival at the Office. (3) If goods are returned under subsection (1), a replacement of the same type must be imported within six months, and if foreign currency has already been paid for the earlier import of such goods, such foreign currency must be brought back. (4) If the importer fails to bring back the foreign currency paid for goods returned under subsection (1) as per subsection (3), or fails to import a replacement of the same type, the Customs Officer shall write to the concerned agency for necessary action under the prevailing law. (5) If, before returning the goods required to be returned under subsection (1), the foreign supplier has sent a replacement of the same type, and if, based on the importer's application and submitted documents, such goods appear to have been imported as a replacement, the Customs Officer may clear them upon collection of applicable duty. (6) After the replacement goods are imported under subsection (5) or the foreign currency is received back, if the originally imported goods are returned within the period under subsection (1), no customs duty shall be leviable, and if customs duty was already paid on the first import, such customs duty shall be refunded. Provided that if goods are returned after the period under clause (d) of subsection (2) without being returned within that period, the customs duty paid on importing such goods shall not be refunded. (7) The importer may abandon at the Office the goods to be re-exported under subsection (1).

If such abandoned goods are in a condition that cannot be auctioned, they may, with the approval of the Customs Officer and at the expense of the importer, be rendered commercially worthless or destroyed in the presence of Office employees. (8) Notwithstanding anything contained in subsection (7), before granting (?) "Under-invoicing" means a situation where the value declared by the declarant is lower than the value determined by the Customs Officer pursuant to this Chapter. (?) "Over-invoicing" means a situation where, when declaring the value of any goods to customs, the declarant declares a value higher than the price actually paid or payable for such goods. (?) If, upon the declarant declaring the value of goods pursuant to sub-section (1), under-invoicing is found, the Customs Officer shall impose a penalty equal to one hundred percent of the duty leviable on the value so under-declared and shall clear the goods. (?) If there is a suspicion that the declarant has over-invoiced goods pursuant to sub-section (1), the Customs Officer may send a written communication to the concerned body for investigation. (?) Notwithstanding anything contained in this Section, if the value declared to customs for imported goods by the declarant is lower than the customs value determined by the Customs Officer pursuant to Section 31, the Customs Officer may, with the approval of the Director General, purchase such goods. 34. Power to order re-determination of value: (1) Notwithstanding anything contained elsewhere in this Chapter, if, while determining the customs value pursuant to this Chapter, the Customs Officer does not comply with Section 31, or if there are reasonable grounds to believe that the determined value is suspect, the Director General may, within ninety days of the

clearance of such goods, order a re-determination of the customs value pursuant to Section 31. (2) If the Director General orders pursuant to sub-section (1), the Customs Officer shall, within thirty days, re-determine the customs value of such goods pursuant to Section 31 and inform the Director General thereof. 35. Power to request information regarding value determination: (1) If an importer wishes to obtain information regarding the basis adopted by the office for determining the customs value of goods imported by him, he may submit an application to the concerned office. (2) Upon receipt of an application pursuant to sub-section (1), the office shall provide such information to him within seven days.

Chapter-5

Classification of Goods and Determination of Duty

36. Classification of goods and determination of duty: (1) For the purpose of determining duty, the classification of imported or exported goods shall be done on the following basis:-

- (a) The prevailing law relating to customs duty,
- (b) The Harmonized Commodity Description and Coding System and its Explanatory Notes promulgated by the World Customs Organization,
- (c) Decisions on classification of goods made by the World Customs Organization,
- (d) The opinion of the Harmonized System Committee of the World Customs Organization, if such opinion has been requested,
- (e) Classification made or advance ruling given by the Director General in respect of any goods pursuant to this Act or the prevailing law relating to customs duty.

(2) Pursuant to clauses (b) and (d) of sub-section (1) of Section 23, before clearing goods, the Customs Officer shall determine the duty only after verifying whether the goods declared by the declarant are classified on the basis pursuant to sub-section (1) or not.

(3) If, upon verification of the classification of goods pursuant to sub-section (2), it is found that the classification is in accordance with the basis mentioned in sub-section (1), the Customs Officer shall immediately determine the duty leviable on such goods.

(4) If, upon verification pursuant to sub-section (2), the classification of the goods is not found to be in accordance with the basis mentioned in sub-section (1), the Customs Officer shall inform the declarant thereof, classify the goods on the basis of sub-section (1), and determine the duty leviable accordingly.

(5) If the declarant is not satisfied with the classification of goods made by the Customs Officer pursuant to sub-section (4), he may, after paying the duty determined by the Customs Officer, submit an application to the Director General for review pursuant to Section 93.

(6) If the declarant, while paying the duty pursuant to sub-section (5), wishes to clear the goods by depositing cash security for the duty that would be leviable as determined upon the final decision on the classification of the goods, the Customs Officer may clear such goods upon taking cash security of the amount accordingly. 37.

Decision regarding classification of goods: (1) If, while verifying the classification of goods pursuant to Section 36, the Customs Officer has a doubt as to whether the classification of the goods declared by the declarant is correct or not, he shall send a written communication to the Director General for a decision, along with the detailed description of such goods, the related documents, the opinion including the reasons for the doubt, and, if possible, a sample of the goods. (2) Before sending a written communication pursuant to

sub-section (1), the Customs Officer must have classified the goods under the sub-heading he deems appropriate and cleared the goods upon taking cash security for the amount of duty leviable accordingly. (3) Upon receipt of a written communication pursuant to sub-section (1), the Director General shall, after studying and analyzing the basis mentioned in sub-section (1) of Section 36, specify the sub-heading for the classification of such goods within thirty days from the date of receipt of such communication and inform the Customs Officer thereof. (4) Before making a decision regarding the classification of goods pursuant to sub-section (3), the Director General may, if he deems necessary, have such goods tested by the office, department, or other government laboratory and obtain the opinion of the concerned expert, the World Customs Organization, or other national or international bodies. If an opinion is sought in this manner, the time limit pursuant to sub-section (3) shall not apply. (5) If any government office or constitutional body has a doubt regarding the classification of any goods that have been cleared pursuant to this Act, it may send a written communication to the Department for confirmation. Upon receipt of such a communication, the Director General shall make a decision, specify the sub-heading of such goods, and inform the concerned body thereof. 38. Clearance of goods: Except in cases where exemption or facility is granted pursuant to this Act or other prevailing law, the Customs Officer shall clear such goods only after the declarant has paid the duty determined pursuant to this Act. Provided that, if the determined duty or the duty that differs due to the amendment of the declaration with the permission of the Customs Officer pursuant to Section 20 is less than one hundred rupees, the Customs Officer may clear the goods without collecting such duty. 39. Power to implement central clearance system: Notwithstanding anything contained elsewhere in this Act, with the approval of the Ministry, the Director General may implement a central clearance system and make necessary arrangements for the clearance of goods from the Department. 40.

Power to demand evidence: (1) If there are reasonable grounds to suspect whether any person has paid duty on goods being exported or imported, any employee of the office may demand from such person evidence of payment of duty or customs clearance of such goods for verification. (2) It shall be the duty of the concerned person to present the evidence demanded pursuant to sub-section (1). If such person fails to present evidence of payment of duty or customs clearance, or if the evidence presented appears to relate to different goods rather than the goods described therein, the concerned employee shall take such person, along with the goods, into his custody and produce them before the Customs Officer. (3) After the person and goods are produced pursuant to sub-section (2), the Customs Officer shall take action against such person for the offense of smuggling (import or export). 41. Clearance of passengers: (1) A passenger arriving in Nepal from abroad or departing from Nepal to abroad shall have his baggage, which is with him or brought by him or to be taken by him, examined by the Customs Officer or a customs employee designated by him. (2) If any passenger, while arriving in Nepal from abroad, brings with him or in his baggage or vehicle goods in excess of the quantity or value entitled to duty exemption pursuant to a notice issued under sub-section (1) of Section 20, or goods not exempt from duty, he shall declare such goods at the office. (3) If the goods declared by a passenger pursuant to sub-section (2) exceed the limit of quantity or value mentioned in the notice issued under sub-section (1) of Section 20, the Customs Officer may, considering the merits, clear such goods upon collecting the leviable duty or confiscate them. (4) The Customs Officer or a customs employee designated by him may examine the baggage of a passenger or person entering Nepal from abroad or departing from Nepal to abroad.

It shall be the duty of the concerned passenger or person to bring his baggage before the Customs Officer or such employee, open the baggage, have it examined, and close the baggage.

(5) To facilitate the clearance of passenger's goods, the Customs Officer may, as far as possible, arrange a

green channel for goods not liable to duty and a red channel for goods liable to duty within the customs area.

(6) If the office has arranged channels pursuant to sub-section (5) at the passenger entry point, a passenger who has goods with him that are required to be declared to customs or are liable to duty shall proceed via the red channel, declare such goods before the Customs Officer, and clear them after paying the leviable duty.

(7) Passengers who do not have with them any goods required to be declared to customs or liable to duty may exit via the green channel.

(8) The Department may make necessary arrangements to obtain details of passengers arriving in Nepal by air from the concerned airline operator in advance through a computer system.

(9) If arrangements are made pursuant to sub-section (8), it shall be the duty of the concerned airline operator to provide such details in advance.

(10) The Customs Officer may examine and clear passengers and the goods with them based on risk analysis. Chapter-6

Search, Seizure, Arrest and Confiscation

42. Power to conduct search: (1) If there are reasonable grounds to believe or suspect that any goods brought by smuggling (import) or sought to be exported without paying duty or by smuggling (export) are concealed or kept in any house, building, shop, warehouse or place, the Director General or the Customs Officer shall decide and conduct a search of such house, shop, warehouse, building or place.

(2) Before conducting a search pursuant to sub-section (1), a written notice stating the reason for such search shall be given to the owner of such house, building, shop, warehouse or place, or the person currently residing in such house, building, shop, warehouse or place.

(3) If, when giving notice pursuant to sub-section (2), such person refuses to accept the notice, a copy of such notice shall be pasted conspicuously on such house, building, shop, warehouse or place. The notice so pasted shall be deemed to have been duly served on the concerned person.

(4) After giving notice pursuant to sub-section (2) or (3), the concerned owner or person shall allow the employee assigned to conduct the search to search such house, building, shop, warehouse or place.

If anyone obstructs or opposes such search, the employee assigned to conduct the search shall order the person residing in the house, building, shop, warehouse or place to be searched to leave the premises. (5) If, upon giving the order to leave pursuant to sub-section (4), a person does not leave the premises, the employee conducting the search may, with the assistance of security personnel, use necessary force to remove him and may conduct the search at any time between sunrise and before sunset after opening or breaking any lock or bolt on the outer or inner door or window of the house, building, shop, warehouse or place to be searched and removing any other obstruction. (6) Notwithstanding anything contained in sub-section (5), if, when giving notice of the search or conducting the search within the time pursuant to that sub-section, there is a suspicion that goods imported by smuggling (import) or sought to be exported by smuggling (export) may be moved from such house, building, warehouse or place to another place or sent abroad, the employee conducting the search may conduct the search at any time. (7) When conducting a search pursuant to sub-section (5) or (6), the employee conducting the search shall, if available, keep as a witness the concerned ward chairperson or ward member of the rural municipality or municipality, or an employee of any government office, or the house owner or his representative, or any person who has

attained the age of eighteen years.

If no such person is available to act as a witness, or if such person is available but refuses to act as a witness, the employee conducting the search shall mention the same in the panchanama (inventory) and preserve it after affixing his signature and seal.

(8) If, while conducting a search pursuant to this Section, the following goods are found, the employee conducting the search may seize them and take them into his custody:-

- (a) Goods brought by evading customs or by smuggling (import) or sought to be exported by smuggling (export),
- (b) Other goods liable to confiscation pursuant to this Act or the prevailing law relating to customs duty,
- (c) Account books, records, computers, and other materials directly or indirectly related to the transaction of goods mentioned in clause (a),
- (d) Other goods that may be related to an offense under this Act.

(9) If goods are seized and taken into custody by the employee conducting the search pursuant to sub-section (8), he shall prepare a details of such goods and immediately deliver a copy thereof to the concerned person. If the concerned person refuses to accept such details, or if it is not possible to deliver them to him, a panchanama (inventory) shall be prepared in the presence of two witnesses and pasted at the place of search. If the details are so pasted, the owner of the concerned goods shall be deemed to have received such details.

(10) The employee conducting the search shall submit the details of the goods pursuant to sub-section (9), related documents, and the goods taken into custody to the Customs Officer. After such submission, the Customs Officer shall initiate necessary proceedings pursuant to this Act. 43. Power to search or examine aircraft: (1) If the Customs Officer receives information that goods imported by smuggling (import) or goods concealed for the purpose of smuggling (import) or smuggling (export) are present on any aircraft arriving at an airport in Nepal from abroad or in the process of departing from any airport in Nepal to abroad, and there are sufficient grounds to believe such information, and if the Customs Officer deems necessary, after informing the airport operator, he may enter such aircraft and search or examine all parts of the aircraft, examine all goods on the aircraft or being loaded onto or unloaded from the aircraft, or demand related documents.

(2) When searching or examining an aircraft pursuant to sub-section (1), the Customs Officer may demand from the captain of the aircraft necessary information relating to the aircraft, cargo, crew members, passengers, or other matters.

It shall be the duty of the captain of the concerned aircraft to provide the information so demanded to the Customs Officer and to provide necessary assistance in the search or examination of goods.

(3) If, during the search or examination pursuant to sub-section (1), goods that have been smuggled (exported or imported) or concealed for the purpose of smuggling, or other restricted or prohibited goods are found, the Customs Officer shall take such goods and related documents into custody and inform the concerned airline operator thereof. 44. Power to stop, search or examine vehicles: (1) The Customs Officer or an employee deployed at customs shall have the authority to stop and search or examine any vehicle at any place and time in order to ascertain whether it contains goods on which duty has not been paid, or goods sought to be smuggled (exported) or smuggled (imported), or restricted or prohibited goods.

(2) If the Customs Officer or an employee deployed at customs orders any vehicle to stop pursuant to

sub-section (1), the driver of such vehicle shall immediately stop the vehicle and allow search or examination. The vehicle so stopped for search or examination shall not be taken elsewhere without the permission of the Customs Officer.

(3) If, after the Customs Officer or an employee deployed at customs has ordered any vehicle to stop pursuant to sub-section (2), the owner or driver of the vehicle does not stop such vehicle, or attempts to flee by causing a disturbance or using force instead of obeying such order, or actually flees, the Customs Officer may order the security personnel deployed at customs to shoot at the wheels of such vehicle.

(4) In the event of shooting pursuant to sub-section (3), the matter shall be communicated by a swift means to the Director General and the concerned Chief District Officer. 45.

Power to search persons: (1) If there are reasonable grounds to suspect that any person arriving in Nepal from abroad or departing from Nepal to abroad has with him or in his baggage any goods concealed with the intention of not paying duty, or any restricted or prohibited goods, an employee deployed at customs may, after giving oral information thereof to the concerned person, search him. (2) If, while searching the body of a person pursuant to sub-section (1), it is suspected that he has concealed any goods inside his body, the Customs Officer may order an X-ray of such person or order the concerned employee to conduct a search by having the necessary examination done by a medical practitioner. (3) If there are grounds to suspect that any person is attempting to smuggle (export) or has smuggled (imported) or is attempting to smuggle (import) any goods, or upon receipt of such information, an employee deployed at customs may stop such person at any time or place and, after giving oral information, search his body or the goods with him. Provided that, when searching the body of a woman, it shall be done by a female employee deployed at customs or a female police officer, and in the case of a sexual minority, by a female or male employee or police officer chosen by him/her. (4) If any person attempts to export or import goods via a route other than the route specified pursuant to Section 6, the Customs Officer, an employee deployed at customs, or other authorized government employee may immediately stop him. (5) If, when attempting to stop pursuant to sub-section (4), such person tries to flee or escape by causing a disturbance or using force against such Customs Officer or employee, the Customs Officer or such employee may arrest him. (6) If, when arresting pursuant to sub-section (5), such person uses force or attempts to flee or escape, and if it is not possible to arrest him immediately, for the protection of himself and the performance of his duty, such Customs Officer or authorized officer may order the security personnel deployed at customs to fire in the air to bring the situation under control, and if the situation is not controlled even after firing in the air, to fire bullets causing as little damage as possible. (7) In the event of firing bullets pursuant to sub-section (6), the matter shall be communicated by a swift means to the Director General and the concerned Chief District Officer. 46.

To be produced before Customs Officer: (1) If a person who is to be searched pursuant to Section 45 requests that his search be conducted in the presence of the Customs Officer, the concerned employee shall immediately produce him before the Customs Officer. (2) If, upon seeing reasonable grounds for the search of a person produced pursuant to sub-section (1), the Customs Officer shall either conduct the search himself or cause an employee subordinate to him to conduct the search in his presence. 47.

Deemed smuggling (export or import): (1) If, upon conducting a search pursuant to this Chapter, goods liable to duty or goods required to be declared and exported or imported pursuant to this Act or the prevailing law relating to customs duty are seized, the Customs Officer shall order the concerned person to present evidence of customs clearance of such goods. (2) If the person fails to present evidence of clearance of the goods as ordered by the Customs Officer pursuant to sub-section (1), he shall be deemed to have smuggled (exported or imported) such goods. 48. Power to arrest person involved in offense: (1) If, upon conducting a search

pursuant to this Chapter, any person appears to have committed an offense under this Act, the Customs Officer shall submit an application to the judicial officer for permission to arrest such person, along with details disclosing his identity. (2) If, from the application pursuant to sub-section (1), reasonable grounds for arresting such person are found, the judicial officer may grant permission to issue an arrest warrant in his name. (3) Notwithstanding anything contained elsewhere in this Section, if a person who is required to be arrested under this Act is not arrested immediately, and if there is a possibility that such person will abscond, escape, or destroy evidence or proof, or if a person absconding in connection with an offense is found, the Customs Officer or an employee deployed by him may arrest such person from any place at any time by issuing an urgent arrest warrant. (4) A person arrested pursuant to sub-section (2) or (3) shall be produced before the judicial officer within twenty-four hours, excluding the travel time, after the arrest. 49. Power to arrest absconding persons: If a person who commits an act deemed to be an offense under this Act cannot be arrested at the time of committing the offense, or if he absconds even after being arrested, the Customs Officer, Investigation Officer, or other employee deployed by him may arrest him at any time. 50.

Power to take goods into custody: (1) If goods liable to confiscation pursuant to this Act or the prevailing law relating to customs duty are seen or discovered, the Customs Officer, or an employee deployed by him, or a police officer deployed for security at customs may take such goods into custody at any place and at any time. (2) A person taking goods into custody pursuant to sub-section (1) shall, within three days of taking the goods into custody, give a receipt to the owner of the concerned goods, including the reason for taking such goods into custody and the details of the goods taken into custody. 51. Goods to be submitted: (1) An employee of the office or other body shall, as soon as possible, submit the goods taken into custody pursuant to this Act and a copy of the details thereof to the Customs Officer. (2) After the goods are deposited pursuant to sub-section (1), the Customs Officer shall inquire whether such goods are required to be taken into custody pursuant to this Act or not. If, upon such inquiry, it appears that the goods were taken into custody without cause or need not have been taken into custody, he shall immediately return such goods to their owner. (3) If, upon inquiry pursuant to sub-section (2), the Customs Officer finds that the goods are liable to confiscation, he may have an investigation conducted by an Investigation Officer in respect of such goods. 52. Confiscation of goods: (1) Goods not declared within the period pursuant to sub-section (14) of Section 20, or goods not cleared and taken out of the customs area or customs warehouse within the specified period, shall be confiscated by the Customs Officer. (2) Before confiscation pursuant to sub-section (1), the concerned office shall give fifteen days' notice to the owner of such goods to take delivery of such goods. (3) If, within the period of the notice given pursuant to sub-section (2), the owner of the goods applies to take delivery and the reason appears reasonable, the Customs Officer may clear such goods within the period of public notice. 53. Other goods to be confiscated: If a decision is made to confiscate any goods pursuant to this Act or the prevailing law relating to customs duty, the parcels or packages used to pack such goods shall also be confiscated. Provided that, on the basis that such goods were used for transport, any aircraft, watercraft, railway, container, motor vehicle, truck, tractor, bus, or other vehicle or means of transport, or a trailer attached thereto, shall not be confiscated. 54.

Notice of confiscation to be given: If any goods are confiscated pursuant to this Act or the prevailing law relating to customs duty, the Customs Officer shall, by a swift means, inform the owner of such goods thereof. 55. Goods to become the property of the Government of Nepal: Goods which an importer abandons at the office without taking delivery, to become the property of the Government of Nepal pursuant to the prevailing law relating to customs duty, and goods confiscated under this Act, shall become the property of the Government of Nepal. 56. Power to set up barriers in customs area: (1) To control and regulate the smuggling (export or import) of goods or the evasion of duty through public roads or places of passage within

the customs area, the Customs Officer may set up barriers on such roads or places as necessary. Explanation: For the purpose of this Section, "barrier" means a physical object or structure for controlling passage, such as a gate, door, or barrier, placed at a location where passengers or vehicles pass through the customs area, for the control and regulation of passengers or vehicles. (2) Upon reaching near a barrier set up pursuant to sub-section (1), the driver of any vehicle shall stop his vehicle and obtain permission from a customs employee to proceed beyond the barrier. (3) If any vehicle is damaged or the driver or other person in such vehicle is injured due to a barrier set up pursuant to sub-section (1), the Customs Officer or other customs employee shall not be liable. Chapter-7 Customs Warehouse 57.

Establishment and operation of customs warehouse: (1) The Department may construct and operate a customs warehouse within the premises of an office, any location, or the customs area, for the safe storage of goods to be exported or imported until they are cleared. (2) If any person wishes to construct and operate a customs warehouse within the premises of an office, location, or customs area, or to operate a warehouse established under government ownership, he shall obtain approval from the Department. (3) The Director General may specify that certain types of goods may only be kept in a particular customs warehouse. (4) Any person, having obtained a license pursuant to the prevailing law to operate a private warehouse at any location in Nepal, must obtain the approval of the Director General to store or safely keep imported or exported goods in such warehouse until they are cleared. (5) Except for a customs warehouse operated by the office itself, the license of a customs warehouse operated by another person must be renewed pursuant to the prevailing law. (6) The Director General may specify the period for storing goods in a customs warehouse and other conditions. (7) If, while operating a customs warehouse, the conditions specified by the Director General pursuant to this Section are not complied with, the Director General may, at any time, cancel the approval given pursuant to sub-section (4) and send a written communication to the concerned body for revocation of the license of such warehouse. (8) The Customs Officer or any customs employee deployed by him may, at any time, enter the customs warehouse, inspect goods, open and examine each item, conduct random checks, or collect samples of goods. (9) No person other than the Director General or the Customs Officer shall have the right to enter a customs warehouse, inspect goods, or collect samples of goods without the permission of the Director General or the Customs Officer. 58. Power to transfer goods in customs warehouse: (1) If the owner of any goods wishes to transfer goods stored in one customs warehouse to another customs warehouse, he may submit an application to the Customs Officer. (2) If the contents of the application received pursuant to sub-section (1) appear reasonable, the Customs Officer may grant permission to transfer the goods. (3) If, while transferring goods with permission pursuant to sub-section (2), the owner of the goods diverts the imported goods, he shall be deemed to have smuggled (imported) such goods. 59.

Goods in customs warehouse to remain under office control: (1) Goods placed for export or import in a customs warehouse operated pursuant to sub-section (1), (2), or (5) of Section 57 shall remain under the control of the concerned office until they are cleared. (2) Goods in a customs warehouse may be taken out of the customs area only in the following conditions:- (a) After declaration at the office has been made and the entire duty, penalty, interest, customs warehouse rent, and other amounts payable on such goods pursuant to this Act or the prevailing law relating to customs duty have been paid, and (b) After clearance by the Customs Officer. 60. Compensation for goods in customs warehouse: (1) The operator of a customs warehouse shall keep the goods in the customs warehouse safely without causing damage. (2) If goods kept in a customs warehouse are stolen, lost, destroyed due to disaster or accident, or damaged or destroyed for any reason other than normal breakage that may occur naturally during storage or removal, or are handed over to unauthorized persons due to negligence or intentionally, the owner of the goods shall be entitled to

claim compensation for such goods from the customs warehouse operator pursuant to the prevailing law. (3) If goods in a customs warehouse are stolen, lost, caught fire, or damaged or harmed in any other way due to the negligence of the customs warehouse operator, the Customs Officer shall recover double the duty leviable on such goods from the customs warehouse operator. 61. License to operate a bonded warehouse: (1) If any industry, having imported raw materials and auxiliary raw materials and storing them in a licensed bonded warehouse, wishes to obtain a license to operate a bonded warehouse for producing, processing, or manufacturing finished goods from such raw materials and exporting them abroad or selling them within the country for convertible foreign currency, it may submit an application to the Director General. (2) If the contents of the application received pursuant to sub-section (1) appear reasonable, the Director General may grant a license to such industry to operate a bonded warehouse. 62. Power to suspend or revoke license: If a person who has obtained a license to operate a bonded warehouse fails to comply with any of the following conditions, the Director General may suspend or revoke such license:- (a) If an export-oriented industry declares finished goods as raw materials, (b) If the facility obtained for the bonded warehouse is misused, (c) If the conditions mentioned in the license are not complied with. 63.

License to operate a duty-free shop: (1) The Director General may grant a license to any person to operate a duty-free shop for the purpose of selling specified goods to bodies, officials, or persons entitled to diplomatic privilege or duty concession. Explanation: For the purpose of this Section,- (a) "Duty-free shop" means a shop operated at any location upon obtaining a license from the Director General to import and store goods under bank guarantee pursuant to the prevailing law relating to customs duty and to sell such goods after granting exemption from tax leviable under this Act and prevailing law. (b) "Diplomatic privilege" means the facility or concession allowing the export or import of any goods without examination or duty, keeping only a record, as per the provisions of a treaty or agreement to which Nepal is a party. (c) "Duty concession" means the facility allowing the export or import of any goods without charging duty, with or without examination, keeping only a record, pursuant to the prevailing law. (2) When granting a license to operate a duty-free shop pursuant to sub-section (1), the number and area shall be determined based on a needs analysis, and a minimum fee shall be specified, and it shall be granted through sealed tenders based on competition at that fee. (3) If a person who has obtained a license pursuant to sub-section (1) sells goods imported for the duty-free shop to a person other than those mentioned in sub-section (1), or if the stock is not found to match the sales, the Director General may recover the duty leviable on such goods and a penalty equal to double thereof from him, and may revoke such license. Chapter-8 Internal Transport of Goods and International Transit 64. Facility for internal transport of goods may be granted: If goods arriving at one office are desired to be cleared not at that office but at another office, the facility of internal transport to take such goods to another office may be granted. 65.

Provisions regarding international transit: (1) For the purpose of taking any goods through the territory of Nepal to another country, the Government of Nepal may, by publishing a notice in the Nepal Gazette, grant international transit permission to a country, subject to conditions. (2) No duty shall be leviable on goods imported into Nepal for international transit pursuant to sub-section (1). (3) Regarding the office of entry, permissible route, and office of exit for goods in international transit, if specified in a bilateral or multilateral treaty, it shall be as per that; if not specified, it shall be as specified by the Government of Nepal by publishing a notice in the Nepal Gazette. (4) The procedures to be followed, conditions to be complied with, security measures to be adopted, and fees and charges to be taken for any service provided in respect of goods imported into Nepal for transit shall be as specified by the Government of Nepal by publishing a notice in the Nepal Gazette. Chapter-9 Express Clearance and Export or Import by Post 66. Facility for express clearance may be granted: (1) The Ministry may grant the facility of express clearance for goods exported or

imported by air by a courier or express service company operated by the private sector. (2) The procedure to be adopted when granting the facility of express clearance pursuant to sub-section (1), the conditions and restrictions to be complied with by the exporter or importer, and the date on which such facility shall come into effect shall be as specified by the Ministry by publishing a notice in the Nepal Gazette. (3) The Government of Nepal may grant duty exemption on goods exported or imported by air by a courier or express service company operated by the private sector. 67. Goods exported or imported through post to be deposited before Customs Officer: (1) If any goods arrive by parcel in the name of any person through the post, the concerned post office shall notify the person to receive the parcel and shall submit such parcel before the Customs Officer of the nearest office for clearance.

The post office shall hand over the parcel to the concerned person only after it has been cleared by the Customs Officer.

(2) If any person brings a parcel of goods for export through the post, the concerned post office shall accept and dispatch such parcel only after getting it cleared by the Customs Officer of the nearest office.

(3) Notwithstanding anything contained in sub-sections (1) and (2), the Ministry may make necessary arrangements so that goods exported or imported through the post are not required to be produced before the Customs Officer. Chapter-10

Advance Ruling

68. Power to issue advance ruling: (1) If an importer submits an application to the Director General for an advance ruling regarding the classification or origin of goods he intends to import, the Director General may issue an advance ruling.

(2) If it is deemed necessary to seek advice regarding the classification or origin of such goods before issuing an advance ruling pursuant to sub-section (1), the Director General may constitute an advisory committee.

(3) The Director General may, regarding the goods for which an advance ruling is sought, obtain a report after laboratory testing, or obtain the opinion of an expert in the relevant subject, any government body, or the World Customs Organization.

(4) When issuing an advance ruling pursuant to sub-section (1), regarding the classification of goods, it shall be issued in accordance with Section 36, and regarding the origin of goods, it shall be issued in a manner not inconsistent with a regional or bilateral treaty or agreement to which Nepal is a party.

(5) Notwithstanding anything contained elsewhere in this Section, an advance ruling regarding the origin of goods shall not be issued in respect of goods other than those for which the customs duty rate varies based on the country of origin according to a regional or bilateral treaty or agreement to which Nepal is a party.

Chapter-11

Offense and Penalty Provisions

69.

Deemed to have committed an offense: If any person does or causes to do any of the following acts, he shall be deemed to have committed an offense under this Act:- (a) If he exports or imports, or attempts to export or import, from a place or route other than the customs area or route specified pursuant to Section 6, or if he smuggles (exports or imports) any goods or attempts to do so, (b) If he fails to give details of goods pursuant to Section 17, (c) If he fails to have a vehicle examined pursuant to Section 18, (d) If he transports goods on

which duty has not been paid or which have not been cleared from customs pursuant to Section 19, (e) If any person other than an authorized officer pursuant to Section 29 opens, looks at, or examines goods that have been cleared from the office and sealed, or the means of transport carrying such goods, (f) If he fails to use the red channel pursuant to sub-section (6) of Section 41, (g) If he fails to allow search of a house, building, shop, warehouse or place pursuant to Section 42, (h) If the captain or crew member of an aircraft fails to allow entry into the aircraft or search or examination of goods, or obstructs or (6) A person committing an offense pursuant to clause (ta) of Section 69 shall be subject to confiscation of such goods and a fine of two hundred percent of the duty leviable on such goods. In the case of fraud or forgery, the Customs Officer shall send a written communication to the concerned body or official for action in accordance with the prevailing law. (7) A person committing an offense pursuant to clause (tha) of Section 69 shall be liable to a fine of up to fifty thousand rupees and imprisonment for up to one year. In the case of forgery of government documents, the Customs Officer shall send a written communication to the concerned body or official for action in accordance with the prevailing law. (8) A person committing an offense pursuant to clause (da) of Section 69 shall be liable to imprisonment for up to one year and a fine of up to five hundred thousand rupees. If it is found that duty has been reduced, evaded, or any liability has been diminished in any manner through such offense, an amount equal to five times the amount of duty so defrauded shall be recovered from that person.

If any person has suffered loss or damage from such act, the Customs Officer may also recover such loss or damage from the person committing the offense. (9) A person committing an offense pursuant to clause (dha) of Section 69 shall be liable to a fine of twenty-five thousand rupees to one hundred thousand rupees. (10) A person committing an offense pursuant to clause (na) of Section 69 shall be liable to have such goods surrendered by that person, a fine based on the value of such goods, and imprisonment for up to six months; and if the goods cannot be surrendered, a fine double the value of the goods and imprisonment for up to six months. (11) A person committing an offense pursuant to clause (pa) of Section 69 shall be liable to recovery of the value of such goods and the applicable duty, and a fine of up to ten thousand rupees. (12) A person committing an offense pursuant to clause (pha) of Section 69 shall be liable to a fine of up to fifty thousand rupees or imprisonment for up to six months, or both. (13) A person committing an offense pursuant to clause (ba) of Section 69 shall be liable to recovery of the duty leviable on such goods and a fine of two hundred percent of the duty leviable on such goods. (14) If a person committing an offense pursuant to clause (bha) of Section 69 is a government employee, that person shall be liable to a fine of ten thousand to fifty thousand rupees or imprisonment for up to one year, or both; and if another person, a fine of ten thousand to fifty thousand rupees or imprisonment for up to six months, or both. (15) A person committing an offense pursuant to clause (ma) of Section 69 shall be subject to a fine of up to fifty thousand rupees and confiscation of such goods. (16) A person committing an offense pursuant to clause (ya) of Section 69 shall, depending on the circumstances and severity of the offense, be liable to a fine of five thousand to one hundred thousand rupees. (17) A person committing an offense pursuant to clause (ra) of Section 69 shall be liable to the same punishment as the offender. (18) Even if it appears that confiscation is required under this Act or the prevailing law, if goods have already been consumed or are untraceable, an amount equivalent to the value of such goods may be recovered from the concerned person.

71. Punishment for Declaration with Incorrect Description of Goods: If any declarant, while declaring goods, makes a declaration with an incorrect description as follows, the Customs Officer may do as follows:

(a) If the name, nature, physical characteristics, intrinsic qualities, measurement, size, and quality of the imported goods are correct but the quantity is declared as less, to impose on such declarant a fine of one hundred percent of the value of the goods so declared in lesser quantity and collect the applicable duty, and

then clear such goods.

(b) If the name, nature, physical characteristics, intrinsic qualities, measurement, size, quality, and quantity of the imported goods are correct but the country of origin is declared incorrectly, to impose on such declarant a fine of twenty-five percent of the customs duty leviable on such goods and collect the applicable duty, and then clear such goods.

(c) If one imported good is declared as another, or a good made from one type of material is declared as being made from another type of material, or all or any of the nature, physical characteristics, intrinsic qualities, measurement, size, weight, or quality of the goods are declared incorrectly, or if any good is not declared at all, to impose on such declarant a fine equal to the value of such goods and confiscate such goods, or to collect a fine of two hundred percent of the value of the goods and the applicable duty from that person and clear such goods.

(d) If the imported goods or their packaging have a clearly marked brand, company, model, item number, or any such detail identifying such goods, and a declaration is made without specifying such clearly identifiable details, to impose on such declarant a fine of fifty percent of the duty leviable on the goods and collect the applicable duty, and then clear such goods.

(e) If the actual quantity of the goods to be exported is stated as more than the actual quantity, to impose on such declarant a fine of two hundred percent of the value of the goods declared in excess and mention such matter in the computer system or declaration form, and then clear the goods.

(f) If a declaration is made incorrectly stating all or any of the name, nature, physical characteristics, intrinsic qualities, measurement, size, weight, or quality of the goods to be exported, to confiscate such goods and impose on such declarant a fine equal to the value of the goods.

(g) If any detail related to the goods mentioned on the goods or their packaging is found to be erased, torn, scratched, altered, or the label removed, to confiscate such goods or impose a fine equal to the value of such goods and collect the applicable duty, and then clear them.

(h) If, for goods already classified once by the Director General or for which advance ruling has been given, or goods already classified and cleared by an office, when re-importing such similar goods, the same importer, with the intention of evading duty, makes a declaration with different classification, to impose a fine of one hundred percent of the customs duty leviable on such goods and collect the applicable duty, and then clear the goods.

(j) If a declarant, while declaring details of goods in the computer system through electronic means pursuant to Sub-section (3) of Section 20, attaches documents that differ from those required to be attached, to impose on such declarant a fine of ten percent of the customs duty leviable according to such declaration and collect the applicable duty, and then clear such goods.

72. Penalty if Goods Cleared without Physical Examination are Found Different: (1) The Customs Officer or other authorized officer may, in accordance with this Act, conduct a re-examination of goods cleared without physical examination pursuant to Clause (ka), (kha), or (ga) of Sub-section (1) of Section 23, before the declarant takes them out of the customs area or after they have been taken out of the customs area.

(2) If, upon re-examination of goods pursuant to Sub-section (1), the name, nature, physical characteristics, intrinsic qualities, measurement, size, weight, quality, or quantity of the goods are found to differ from what the declarant declared, it shall be deemed an offense under this Act.

(3) If an offense is committed pursuant to Sub-section (2), the Customs Officer may release the goods by imposing a fine of two hundred percent of the value of the goods for which the description was found to be incorrect at the time of clearance, due to the declaration of incorrect details, and collecting the applicable duty.

(4) The duty amount paid at the time of clearance of such goods shall not be set off or deducted against the fine and duty amount payable pursuant to Sub-section (3).

(5) If goods dispatched for a specified office after obtaining approval from the office for internal transport pursuant to Section 64 are diverted en route resulting in duty evasion, or if the Global Positioning System (GPS) installed lock or serial numbered seal on the container is not kept intact, or if the designated road route for internal transport is not used, the Customs Officer shall impose a penalty as follows:

(a) If goods in internal transport are found to have been diverted en route with the intention of evading duty, to impose a penalty of three hundred percent of the value of such goods and confiscate them, or if the goods are not found, to impose a penalty of five hundred percent of the value of the goods.

(b) Even without the intention to evade duty, if the GPS installed lock or serial numbered seal on the container is not kept intact, or if the designated road route for internal transport is not used except due to force majeure, or if the goods are not delivered to the specified office within the specified time period, to impose a penalty of fifty thousand to one hundred thousand rupees. 73.

Punishment for Customs Clearance Representative: (1) If a customs clearance representative is found to be involved in an act under Section 71 or 72, the Customs Officer may impose on such customs clearance representative a fine of fifty thousand to one hundred thousand rupees or imprisonment for one to six months, or both. (2) The owner of the goods shall not be exempt from the punishment or penalty under this Act merely because a customs clearance representative has been punished pursuant to Sub-section (1). 74. **Punishment According to Prevailing Law:** If any offense under this Act also constitutes an offense under any other prevailing law, this Act shall not be deemed to prevent action and punishment for such offense under that other law. **Chapter 12 Investigation, Inquiry, and Filing of Cases** 75. **Government of Nepal as Plaintiff:** In cases where imprisonment is imposed for offenses under this Act, the Government of Nepal shall be the plaintiff. 76. **Authority to Hear Cases:** In cases under this Act where only a fine is imposed and imprisonment is for up to one year, the initial proceedings and adjudication shall be conducted by the Customs Officer; and in cases where imprisonment is for more than one year, the initial proceedings and adjudication shall be conducted by the concerned District Court. 77. **Designation of Investigating Officer:** (1) If, upon considering a person arrested under this Act and produced before a Customs Officer, or a person who has appeared within the period specified in a notice issued by a Customs Officer, or goods taken into custody for action, it appears necessary to conduct an investigation and inquiry and take action, the Customs Officer shall designate a gazetted officer of the office as an Investigating Officer to conduct the investigation and inquiry of such case. (2) Notwithstanding anything contained in Sub-section (1), if there is only one Customs Officer in the office, there shall be no bar to designating a lower-level employee of the concerned office as an Investigating Officer. 78.

Duties, Functions, and Powers of Investigating Officer: (1) The duties, functions, and powers of an Investigating Officer shall be as follows: (a) In the course of investigation, to record the statement of the accused, collect evidence related to the case, issue summons to and examine other persons who appear to be connected to the case. (b) To search any house, building, shop, warehouse, or place. (c) If a person involved in the offense is absconding, to arrest or cause the arrest of that person. (d) If, from the evidence

immediately available in the course of investigation, it appears that the person accused may be the offender, to demand a cash deposit from that person covering the amount of imprisonment, fine, and the amount equivalent to the loss recoverable under this Act for that offense, and if that person deposits the bail, to let them remain on bail and conduct the investigation and inquiry. (e) If the cash deposit demanded pursuant to Clause (d) is not deposited, to conduct the case proceedings by keeping the person in detention with the permission of the authority hearing the case. (f) Notwithstanding anything contained in Clause (d), if there is a possibility that the person not detained may destroy evidence or abscond, and there is a low likelihood of arresting them later, to conduct the investigation by keeping the person involved in such offense in detention. (2) When taking bail for imprisonment pursuant to Clause (d) of Sub-section (1), it shall be taken at the rate determined by the prevailing law per day of imprisonment. (3) Notwithstanding anything contained elsewhere in this Act, if among the goods produced during the investigation there are live animals, birds, perishable goods, or goods that cannot or should not be kept in the office or customs warehouse due to the need to maintain quality, lack of space, or security reasons, the Investigating Officer may immediately auction them and deposit the proceeds as security, or send such goods to be deposited with a government agency. 79. Filing of Case: (1) The Investigating Officer shall complete the investigation within twenty-five days from the commencement of the investigation into the offense under this Act and file the case before the authority hearing the case. (2) In the case of a case where the Government of Nepal is the plaintiff pursuant to Section 75, the case filed pursuant to Sub-section (1) must have been decided by the government attorney. 80.

Arrest Warrant to be Provided: When an Investigating Officer or the authority hearing the case detains a person under this Act, an arrest warrant shall be provided in the format prescribed by the prevailing law, stating the reason for such detention and the legal basis thereof. 81. Maximum Period of Detention: Notwithstanding anything contained elsewhere in this Act, when an accused is detained pending trial, they shall not be kept in detention for a period exceeding the maximum term of imprisonment that could be imposed if the charges against them are proved. Chapter 13 Case Proceedings, Decision, and Implementation 82. Commencement of Case Proceedings: After the Investigating Officer files a case concerning an offense under this Act before the authority hearing the case pursuant to Section 79, the authority hearing the case shall commence proceedings of such case immediately. 83. Recording of Statement of the Accused: (1) In relation to an offense to be processed and decided by the Customs Officer under this Act, after the accused appears, the Customs Officer shall record their written statement. (2) If, while recording the statement pursuant to Sub-section (1), any matter needing to be asked is omitted, the Customs Officer may have such accused produced again and record their statement again regarding the omitted matter. 84. Immediate Decision of Case: (1) If an accused confesses to the offense charged against them before the Customs Officer, the Customs Officer may, considering the truthfulness and reliability of such confession, immediately decide the case if it does not appear necessary to examine any other evidence. (2) If an accused confesses partially to the charge against them, the Customs Officer may order the examination of further evidence regarding the extent to which the accused has not confessed. 85. Proceeding on Detention or Bail: (1) If an accused appears to be the offender from the immediately available evidence under this Act, or if there is reasonable ground to believe that they are the offender, the Customs Officer may demand a cash deposit from that person covering the amount of imprisonment, fine, and the amount equivalent to the loss recoverable under this Act for that offense.

If the accused deposits the demanded bail amount, the case proceedings shall be conducted by keeping them on bail.

(2) If the cash deposit demanded pursuant to Sub-section (1) is not deposited or cannot be deposited, or if

there is a possibility that the accused not detained may destroy evidence or abscond, and there is a low likelihood of being able to arrest and prosecute them later, the Customs Officer may keep such accused in detention pending trial.

(3) When taking bail for imprisonment pursuant to Sub-section (1), it shall be taken at the rate mentioned in Sub-section (2) of Section 78.

(4) When taking bail from an accused, a document shall be executed stating the condition that the bail will be forfeited if the accused fails to appear on the specified date. 86. Order Sheet to be Prepared: When detaining an accused, releasing a detained accused, or taking bail from an accused under this Act, an order sheet stating the reasons shall be prepared. 87. Issuance of Summons or Arrest Warrant: (1) Notwithstanding anything contained in the prevailing law, in cases related to offenses under this Act, the Customs Officer may, for causing an accused who has not appeared with the complaint to appear, issue a summons with a period of fifteen days in the name of the concerned accused in accordance with the prevailing law.

(2) Notwithstanding anything contained in Sub-section (1), if there is reasonable cause to believe that the accused might abscond and be difficult to arrest again, or if the accused fails to appear at the office within the period specified in the summons, the Customs Officer may issue an arrest warrant for such accused in accordance with the prevailing law. 88. Extension of Time and Appointment of Representative Not Allowed: In cases related to offenses under this Act, the time limit issued pursuant to Section 87 shall not be extended, and a representative shall not be appointed. Provided that, if an accused submits a petition showing cause that they could not appear within the specified time due to force majeure, and the authority hearing the case finds the content of such petition reasonable, the time may be extended by up to fifteen days, excluding travel time, after the cessation of the force majeure. 89. Powers Equivalent to a Court: The Customs Officer shall, for the purposes of this Act, have powers equivalent to those of a court of first instance under the prevailing law in respect of summoning concerned persons, recording statements, examining evidence, requiring the production of documents, conducting trials, or implementing decisions made in cases filed before the Customs Officer. 90.

Forfeiture of Bail: (1) If a person who has posted bail under this Act fails to appear at the office on the specified date, except due to force majeure, the bail posted by that person shall be forfeited. (2) Notwithstanding anything contained in Sub-section (1), if an accused has posted bail pursuant to Section 85 and the case proceedings have been conducted, and upon the decision of the case, if the charge is proved, the amount of fine payable by that person shall be recovered by adjusting against such bail. No further fine amount shall be recovered solely on the basis of having failed to appear on the specified date. 91. Period for Deciding a Case: In cases under this Act, the Customs Officer shall generally decide the case within thirty days from the completion of the evidence examination process. Chapter 14 Management of Confiscated, Purchased, or Seized Goods 92. Management of Confiscated or Purchased Goods: (1) Goods confiscated under this Act or the prevailing law relating to customs duty, or goods purchased pursuant to Sub-section (4) of Section 33, shall generally be managed within sixty days by any of the following methods: (a) To transfer to any government body as decided by the Ministry. (b) To sell by auction. (c) If the goods cannot be sold by auction pursuant to Clause (b) or are unusable in any manner, to rot, melt, or destroy them. (d) If it appears more useful to give goods to the concerned government body for distribution to disaster-affected persons rather than selling them by auction, the Customs Officer may, with the approval of the Ministry, transfer such goods to such government body. (2) Notwithstanding anything contained in Sub-section (1), gold, silver bullion, or goods that can only be sold with a license, or precious minerals, which have been confiscated or are deposited in the name of the Government of Nepal without being released by the office, shall be sold by

auction or other necessary arrangements made.

Provided that, silver ornaments or other finished silver goods may be sold by auction by the Customs Officer pursuant to Clause (kha) of Sub-section (1).

(3) If any goods seized under this Act are perishable, meltable, or become old and lose value, or if it is difficult to store them due to lack of customs warehouse or space, the Customs Officer may sell them by auction even before the decision of the case.

(4) The proceeds from the auction sale pursuant to Sub-section (3) shall be credited by the office to the bail account.

(5) If the owner of the goods makes a request by petition for the proceeds obtained from the auction sale pursuant to Sub-section (3) of Section 78 or this Section, the office shall pay such amount to that person only in the following circumstances:

(a) If goods controlled on the charge of smuggling and sold by auction under this Act are, by final decision of the case, not proven to have been smuggled, and a petition is submitted within thirty-five days from the date of such decision; or

(b) If a person claims goods confiscated and sold by auction pursuant to Section 52 as their own, and submits a petition to the Customs Officer with evidence within thirty-five days from the date of auction sale requesting the return of the remaining amount after deducting the amount pursuant to Sub-section (6), and such evidence confirms that the goods belong to that person.

(6) When making payment pursuant to Sub-section (5), the office shall deduct the following amounts and pay only the remaining amount:

(a) Tax leviable on the auction sale price of the goods, expenses incurred for storing such goods or demurrage charges, and expenses incurred for the auction sale; and

Explanation: For the purposes of this clause, "demurrage charges" means the demurrage charges that the owner of goods kept in a customs warehouse operated or managed by the Customs Office, within the premises of the Customs Office, or at any place in the customs area, is liable to pay to the Government of Nepal under the prevailing law relating to customs duty if the goods are not cleared and taken away within the period prescribed by law.

(b) The amount of duty that would normally be leviable on such goods as were auctioned on the day of the auction sale upon regular importation, and interest accrued on such amount. Chapter 15

Administrative Review and Appeal

93.

Administrative Review: (1) Except for cases deemed to be offenses of smuggling under this Act and matters related thereto, a person aggrieved by an order or decision of the Customs Officer relating to customs valuation or classification of goods, or any other decision, may submit a petition for review to the Director General within thirty days from the date of such order or decision. (2) When submitting a petition for review to the Director General pursuant to Sub-section (1), the necessary documents shall be attached, and if the matter relates to customs valuation or classification of goods, a sample of such goods shall also be submitted with the petition as far as possible. (3) When submitting a petition pursuant to Sub-section (1), the petitioner

shall attach, along with the petition, proof of having paid the duty and any fine imposed according to the order or decision against which the petition is filed, or having deposited an equivalent amount as cash bail in the concerned office. Provided that, if a person unable to pay such duty or fine amount is in detention and wishes to submit a petition for review, they may submit the petition by posting bail. 94. Decision on Administrative Review: (1) The Director General shall decide on the petition for review received pursuant to Section 93 within sixty days. (2) When deciding pursuant to Sub-section (1), the Director General may, after making necessary inquiries, confirm or annul the original order or decision in whole or in part, or order a fresh decision, or render a decision themselves stating the grounds and reasons in accordance with this Act. (3) When deciding on a petition received for review regarding the classification of goods under this Section, the Director General may do so pursuant to Sub-section (3) of Section 37, subject to Sub-section (1) of Section 36. (4) When deciding on a petition received for review regarding the customs valuation of goods, the Director General shall do so subject to Section 31. (5) If the Director General seeks the opinion of an international body related to customs while deciding a review on a matter of classification of goods, the time limit pursuant to Sub-section (1) shall not apply. (6) When deciding on a review petition under this Section, the grounds and reasons shall be stated. (7) The Department shall provide written information of the order or decision made by the Director General on the review petition under this Section to the concerned person within three days. 95.

Appeal: (1) A person aggrieved by an order or decision made by the Director General, Customs Officer, or Customs Inspector on the following matters under this Act may file an appeal to the Revenue Tribunal within thirty-five days from the date of receipt of information of such order or decision: (a) A decision made by the Director General regarding classification of goods pursuant to Section 37. (b) A decision made on review pursuant to Section 94. (c) A decision made imposing duty determination or penalty pursuant to Chapter 17. (d) A punishment imposed by the Customs Officer under this Act. Provided that, if aggrieved by a decision made by a District Court, an appeal may be filed with the concerned High Court. (2) A person filing an appeal pursuant to Sub-section (1) shall pay the undisputed duty amount among the duty and fine imposed according to the decision or order against which the appeal is filed to the concerned Customs Clearance Examination Office, and deposit a cash bail of one hundred percent of the disputed duty and fine amount. Provided that, a person in detention who is unable to pay such duty and fine amount may file an appeal without posting bail. (3) A bank voucher evidencing deposit of the bail amount pursuant to Sub-section (2) in the bail account maintained at the Office of the Comptroller and Auditor General in the name of the concerned Customs Clearance Examination Office shall be submitted with the appeal. (4) Notwithstanding anything contained in other prevailing laws, where there is a provision for administrative review pursuant to Section 93, only after the decision on the review may an appeal be filed to the Revenue Tribunal under this Section if aggrieved by such decision. (5) Within seven days of filing an appeal under this Section, the appellant shall mandatorily provide a copy of the appeal to the Department and the concerned office or Customs Clearance Examination Office. Chapter 16 Customs Clearance Representative 96. Appointment of Customs Clearance Representative: (1) If the owner of goods is unable to get their goods released from the office themselves for export or import, or wishes to have any office-related work done through a customs clearance representative rather than themselves, they may appoint a customs clearance representative. Provided that, a customs clearance representative shall not appoint another representative for customs clearance. (2) If the owner of goods is a firm, company, organized institution, or body registered under the prevailing law, the director, partner, executive head, administrative head, or an officer-level employee of such firm, company, organized institution, or body designated by the executive head may appear at the office to get goods released or perform other office-related work.

97. License Required for Customs Clearance Representative: (1) A Nepali citizen wishing to work as a customs clearance representative for releasing goods for export or import from the office or for work related to the office shall obtain a license as a customs clearance representative from the Department.

(2) To obtain a license as a customs clearance representative pursuant to Sub-section (1), the following qualifications must be met:

(a) A Nepali citizen who has completed twenty-one years of age.

(b) Has obtained at least a bachelor's degree from a recognized educational institution.

(c) Has not been convicted by a court of any criminal offense.

(3) The Department shall conduct examinations for the selection of customs clearance representatives within two years from the date of commencement of this Act and periodically thereafter as needed. While selecting, preference shall be given to persons with experience in the relevant field.

(4) Notwithstanding anything contained elsewhere in this Section, a licensed customs agent at the time of promulgation of this Act shall automatically be converted into a customs clearance representative after the commencement of this Act. 98. Customs Clearance Representative Deemed Owner of Goods: For the purpose of getting the goods of an owner released from the office or performing other office-related work under this Act or the prevailing law relating to customs duty, the customs clearance representative appointed by the owner shall be deemed to be the owner of such goods. 99. Duties and Responsibilities of Customs Clearance Representative: The duties and responsibilities of a customs clearance representative shall be as follows:

(a) Upon receiving authorization to get the goods of an exporter or importer released from the office, to declare such goods according to the rules, get them cleared, and release them from the office.

(b) If the Customs Officer gives written notice to produce the exporter or importer who appointed the customs clearance representative, to deliver such notice to the concerned exporter or importer.

(c) To simplify the customs clearance process, assist the office in collecting duty, and provide necessary assistance in collecting any outstanding duty.

(d) To comply with laws relating to customs. 100. Liability of Customs Clearance Representative: If a customs clearance representative licensed pursuant to Section 97 causes loss or damage to goods by doing any act contrary to this Act or the prevailing law relating to customs duty, that representative shall pay an amount equal to such loss or damage to the owner of such goods. 101.

Suspension or Cancellation of License: (1) The Customs Officer may suspend the license of a customs clearance representative for a period of one to six months in the following circumstances: (a) Punished pursuant to Section 73. (b) Failed to perform duties pursuant to Section 99. (c) Did any act contrary to this Act or the prevailing law relating to customs duty. (2) If a case is filed in court against a customs clearance representative for any criminal offense under the prevailing law, the license of that customs clearance representative shall be automatically suspended from the date of such filing. (3) The Director General may cancel the license of a customs clearance representative in the following circumstances: (a) If the license has been suspended up to three times pursuant to Sub-section (1). (b) If the Customs Officer sends a written communication to the Director General recommending cancellation of the license on the grounds that it was obtained by submitting a fake educational qualification certificate or other false documents or details. (c) If

found involved in any act resulting in smuggling or revenue leakage. (d) If convicted by a court of any criminal offense. (e) If a petition is submitted to the Director General requesting cancellation of the license obtained. (f) If unable to function as a customs clearance representative due to physical or mental illness. (g) Upon the death of the representative. (4) Before suspending a license pursuant to Sub-section (1) or canceling it pursuant to Clauses (ka), (kha), or (ga) of Sub-section (3), the representative shall be given an opportunity to present their defense. (5) If the license of a customs clearance representative is suspended pursuant to Sub-section (1) or (2), such person shall not perform any work related to customs clearance during that period; and after the license is canceled pursuant to Sub-section (3), such person shall not perform any work related to customs clearance. (6) Except in the case under Clause (cha) of Sub-section (3), a person whose license has been canceled under this Section shall not be eligible to obtain a license as a customs clearance representative again. Chapter 17 Post-Clearance Audit and Re-audit 102.

Post-Clearance Audit: (1) To ascertain the following matters regarding any exported or imported goods, the Director General, Customs Inspector, or a Customs Officer designated by the Director General may examine the accounts, registers, records, or other similar documents, bank records, computer systems, and all details, documents, or records related to the business of any exporter or importer: (a) Whether the goods were declared pursuant to Sub-section (4) of Section 20 or not. (b) Whether the goods are as per the declaration or not. (c) Whether the customs value of the goods is accurate or not. (d) Whether the classification subheading of the goods is correct or not. (e) Whether the duty payable under the prevailing law at the time of export or import has been paid or not. (f) Whether goods imported with full or partial exemption or facility of customs duty under this Act or prevailing law have been used as intended or not, and whether the concerned person actually imported them or not. (g) Whether there is consistency in the measurement, size, unit mentioned in the declaration form, purchase invoice, or other import-related documents at the time of import and the measurement, size, and unit mentioned in the person's purchase account, sales account, and sales invoice. (2) Post-clearance audit shall be conducted to ascertain whether the matters mentioned in Sub-section (1) exist or not in respect of goods cleared from the office pursuant to Clause (ga) of Sub-section (1) of Section 23. 103.

Recovery of Short-paid Duty and Penalty: (1) If, during post-clearance audit, it is found that goods different from those declared by the declarant or different from the declaration have been exported or imported, or that less duty than leviable has been collected due to under-declaration of value or quantity of such goods, the Customs Inspector shall re-determine the duty on such goods. (2) When determining duty pursuant to Sub-section (1), the duty short-paid due to under-declaration of value or quantity at the time of clearance of such goods, the penalty amount under this Act for under-declaration of quantity, and, for under-declaration of value, the Customs Inspector shall impose a fine of one hundred percent of the duty leviable on such goods, and recover the same from the owner of the concerned goods. (3) If, during post-clearance audit, it is found that less duty than leviable has been collected due to incorrect classification subheading of the goods, the Customs Inspector shall recover the amount of duty so short-paid and an equivalent fine from the owner of the concerned goods. (4) If, during post-clearance audit, it is established that less duty than leviable has been collected due to any reason other than those mentioned in Sub-section (2) or (3), the Customs Inspector shall recover the amount of duty so short-collected and an amount equal to such fine from the owner of the concerned goods. Provided that, if the short-collection of duty occurred due to reasons other than the fault of the declarant, no fine shall be imposed. (5) If, during post-clearance audit, it is found that any person has used goods imported with full or partial exemption or facility of customs duty under this Act or other prevailing law contrary to the purpose for which they were imported, sold them, or a person not entitled to exemption or facility has imported any goods with full or partial exemption or facility of customs duty, the Customs

Inspector shall recover from that person the duty leviable on such goods and a fine of two hundred percent of the duty. (6) If, during audit pursuant to Section 102, import is found to have been made without declaration as per Clause (ka) of Sub-section (1) thereof, the Director General or Customs Inspector shall impose a fine of five percent of the customs value of such goods. Provided that, a fine under this Sub-section shall not be imposed solely on the ground that details which could not be disclosed due to the nature of the goods were not disclosed. (7) For the purpose of determining duty pursuant to Sub-section (1), the Customs Inspector shall determine the value of the imported goods pursuant to Section 31. 104.

Examination of the Concerned Person: (1) During post-clearance audit, the Customs Inspector may summon concerned persons to their office, record statements, examine evidence, require production of documents, issue notices or summons, or recover additional amounts or fines leviable under this Act or the prevailing law relating to customs duty from them. (2) If the owner of goods fails to appear when summoned or within the period specified in the summons issued pursuant to Sub-section (1), or fails to produce the required documents, evidence, or papers, the Customs Inspector may impose a fine of ten thousand rupees for each such instance, (?) If a Customs Officer suspects that any person has imported or attempted to import any forged or counterfeit (counterfeit) goods prepared by imitating the manufacturer company, brand, model, design, make, logo or similar of any goods, such Officer may require the importer to provide evidence proving that such goods are not counterfeit or forged, send such goods to the laboratory of the Department or other government body for technical testing and obtain a test report, or request necessary information in this regard from the manufacturer whose goods are suspected to have been imitated. (?) Where evidence is required from the importer pursuant to sub-section (6), the importer shall submit such evidence within fifteen days. (?) If, based on the test report or information obtained pursuant to sub-section (6) or the evidence submitted pursuant to sub-section (7), such goods are found to be counterfeit, the Customs Officer shall confiscate and destroy such goods. ???.

Export or Import Registration Number to be obtained: (?) No person shall export or import any goods without obtaining an export or import registration number. Provided that, nothing shall prevent the Department from making separate arrangements allowing export or import without obtaining an export or import registration number. (?) The export or import registration number obtained pursuant to sub-section (?) shall be renewed. (?) Transactions relating to export or import shall not be carried out using such export or import registration number without renewal. (?) If the export or import registration number is not renewed within the time limit, it shall stand automatically cancelled. (?) The administration of the export or import registration number pursuant to this Section shall be carried out by the body designated by the Government of Nepal by publishing a notice in the Nepal Gazette, and until such body is designated by the Government of Nepal, the administration of the export or import registration number shall be carried out by the Department. ???.

Records to be kept safely: The owner of goods shall keep safely the documents relating to the customs process of the goods exported or imported by him/her, and the records thereof, for at least four years from the date of such export or import of goods.

???. Reward to be given: If any employee or person gives information to the Customs Office that any person is about to or has smuggled goods in or out, or takes control of such goods and deposits them at the Customs Office, and such act is proven, a reward shall be given.

???. Owner of goods to bear expenses: When goods are cleared under this Act or the prevailing law relating to customs duty, the expenses for carrying goods, bringing them to a suitable place for examination and opening, placing in and removing from any machinery, opening, sorting, and marking the goods or the containers, boxes, bags, packets, sacks or similar other packaging materials containing such goods shall be

borne by the owner of the relevant goods.

???. Confidentiality to be maintained: (?) Notwithstanding anything written in the prevailing law, the information relating to customs valuation submitted by the declarant to the Office, documents relating to clearance of goods, and other personal commercial information shall be kept confidential.

(?) Notwithstanding anything written in sub-section (?), if any details or documents are requested by an officer authorized to conduct investigation under the prevailing law in relation to any goods, for the purpose of such investigation or audit, or by a court for the purpose of judicial proceedings, the Customs Officer shall provide such details or documents and any information relating thereto.

(?) If any declarant requests a certified copy of the declaration form, invoice or other documents relating to his/her goods kept in the Office, the Customs Officer shall, upon charging the prescribed fee, provide a certified copy of such document.

???. Notice to be issued: Unless otherwise provided in this Act or the prevailing law relating to customs duty, when the Office issues an individual or public notice in the name of a person concerned or likely to be concerned with the work and proceedings of the Office, the notice shall be issued allowing a period of fifteen days.

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Powers may be delegated: (?) The Government of Nepal may, under this Act, delegate the powers vested in it to the Director General or any other gazetted officer by publishing a notice in the Nepal Gazette.

(?) The Ministry may delegate the powers vested in a Customs Officer or Customs Examiner under this Act to any officer of the Government of Nepal.

(?) The Director General may delegate, among the powers conferred upon him/her under this Act, powers other than the classification of goods, customs valuation, review of goods classification, and the power under sub-section (?) of Section ?, to any officer-level employee under him/her.

(?) The Chief Customs Administrator may delegate, among the powers conferred upon him/her under this Act, powers other than the power to take action and decide pursuant to Section ??, to any officer under him/her.

(?) The Chief Customs Examination Administrator may delegate some of the powers conferred upon him/her under this Act to any examiner under him/her.

(?) If information is received by the Department through any means that any Customs Officer or other employee deployed in the work of the Office has done or is about to do any act contrary to this Act or the prevailing law relating to customs duty, and if there appears to be reasonable cause to believe such information, the Director General may give authority to get the work being done by such person done by another Customs Officer or employee.

???. Documents to be recognized: (?) Notwithstanding anything written in any other prevailing law, a document relating to clearance printed from the computer system using the official password of a Customs Officer shall be recognized as if it bears the signature of the employee even if it does not bear such signature.

(?) Documents printed on the basis of declarations of goods made through electronic means in the computer system using the official password provided by the Office, exchange of information, or records relating to

clearance shall be recognized as if they bear the signature of the concerned person even if they do not bear such signature.

???. Payment may be made through electronic means: (?) Notwithstanding anything written elsewhere in this Act, the Department may make necessary arrangements so that the duty or penalty or any other amount payable to the Office under this Act or other prevailing law may, as far as possible, be paid through electronic means (e-payment).

(?) Arrangements relating to payment through electronic means (e-payment) pursuant to sub-section (?) shall be as prescribed by the Department.

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Functions may be performed through National Single Window: (?) The Government of Nepal may develop and implement a National Single Window to systematize international trade.

(?) The Department shall implement the National Single Window pursuant to sub-section (?).

(?) Bodies related to export or import shall be integrated into the National Single Window developed by the Government of Nepal pursuant to sub-section (?).

(?) Notwithstanding anything written in this Act or other prevailing law, bodies related to export or import integrated into the National Single Window shall perform their functions through the system pursuant to sub-section (?).

???. Information to be given: The Office shall provide information regarding the details of property and means confiscated by a Customs Officer under this Act to the body designated under the prevailing law relating to freezing, control and confiscation of criminal property and means.

???. Assistance to be given: If a Customs Officer or other employee of the Office, while performing duties and exercising powers under this Act or the prevailing law relating to customs duty, requests any kind of assistance, information or help from any government office, employee, police, bank or financial institution, it shall be the duty of such office, employee, police, bank or financial institution to provide such assistance, information or help and to provide services in a manner that maintains coordination in the performance of functions of the Customs Office.

???. Interference not to be made: (?) No other body or officer shall make any kind of interference in respect of goods kept in the area or premises of the Office for export or import or in the customs warehouse until such goods are cleared from that Office and released from the customs area.

(?) Notwithstanding anything written in sub-section (?), nothing shall prevent a body or officer assigned under the prevailing law to investigate or inquire into any goods from, with the permission of the Customs Officer, inspecting such goods or collecting samples.

???. Shipping containers may be cleared: Even if a shipping company registered in Nepal to operate container services has purchased a container abroad which is physically not possible to import, upon payment of the duty leviable on such container, it may be deemed as imported and cleared.

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Protection for acts done in good faith: (?) Notwithstanding anything written elsewhere in this Act, any employee of customs shall not be personally liable for any work or proceeding done in good faith in the

course of performing his/her duties. (?) If any defect is found in goods cleared pursuant to clause (?) or (?) of sub-section (?) of Section ??, the officer or other employee involved in the clearance of such goods shall not be liable. (?) In respect of goods cleared pursuant to clause (?) of sub-section (?) of Section ??, the officer or other employee involved in the clearance shall be liable to the extent of having examined the documents of such goods. ????. Difficulties may be removed: If any difficulty arises in implementing this Act, the Government of Nepal may, by publishing a notice in the Nepal Gazette, remove such difficulty in a manner not inconsistent with this Act. ???.

Power to make Rules: The Government of Nepal may make Rules on the following matters for implementing this Act: - (?) Relating to clearance of goods from Sub-Customs Office, (?) Relating to details of vehicles and goods in vehicles, (?) Relating to inspection of vehicles other than aircraft before entering Nepal and departing abroad, (?) Relating to format of declaration form, declaration of goods and documents to be attached, (?) Relating to release of security, refund of duty and recovery of duty exempted, (?) Relating to expeditious clearance of goods, (?) Relating to clearance of goods pending receipt of test report and expert opinion, (?) Relating to clearance of goods on the basis of risk analysis, (?) Relating to onsite inspection of goods and fees, (?) Relating to testing of samples of goods, (?) Relating to authorized economic operator, (?) Relating to designating means of transport for cleared goods, sealing and recording, (?) Relating to return of imported goods, (?) Relating to customs value declaration of imported goods and determination of transaction value, (?) Relating to purchase of under-invoiced goods, (?) Relating to limit of duty for clearance of goods without charging duty, (?) Relating to goods brought by passengers accompanied, (?) Relating to establishment, operation, regulation and management of customs warehouse, (?) Relating to operation and management of warehouse established by the private sector, (?) Relating to operation and management of bonded warehouse, (?) Relating to operation of duty free shop, (?) Relating to internal transport of goods, (?) Relating to goods and value exemption for goods exported or imported by air by courier service or courier company, (?) Relating to goods and value exemption for goods exported or imported through post, (?) Relating to advance ruling, (?) Relating to limit of value of goods for investigation and inquiry, (?) Relating to auction sale and destruction of goods, (?) Relating to format of decision in case, (?) Relating to administrative review, (?) Relating to customs clearance representative, (?) Relating to post-clearance examination and re-examination, (?) Relating to export and import registration number, its renewal and fee, (?) Relating to information and reward, (???) Relating to copy of documents and fee thereof, (???) Relating to operation of National Single Window, (???) Relating to rules of origin of goods. ???.